

Copart's \$1.9B Bet on ACV Auctions: a Deep Dive

What Copart bought, how it won the auction, and what it needs for the deal to pay off



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On September 10, 2026, Copart (Nasdaq: CPRT) announced it would acquire ACV Auctions (NYSE: ACVA) for \$10.50/share in cash, or about \$1.9B.

I was wrong. In my August [Copart deep dive](#) I wrote: “*Second possibility: M&A used to fill a capability gap or improve the existing offering. Take ACV Auctions, for example. It’s a wholesale marketplace for dealers (no auction lots). [...] The synergies for Copart’s non-insurance business are obvious: dealer relationships, software, offering those vehicles to international buyers, etc. [...] The price (\$1.3B EV on \$75M EBITDA) will probably be a dealbreaker [for Copart], but the broader logic still holds.*”

Copart didn’t seem bothered by the price at all: it’s paying roughly 50% more than the EV. Are they right? Are they wrong? To find out, I dove into ACV’s filings, into every public document related to the acquisition, and much more.

In order, I’m going to:

- Analyze ACV in depth (business model, sector, performance, etc.).
- Walk through and interpret the very interesting story behind this acquisition (for example, how RB Global most likely lost out to Copart because of RB Global’s commitment to Progressive volume; I’m not kidding).
- Break down everything this acquisition means for Copart (synergies, integration, cost management, cultures and incentives, etc.).

- Give my final judgment on the acquisition and what it means for my Copart thesis.

Let's go.

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1 What Copart is buying

In 1 line: Copart is buying Copart, just smaller, specialized for dealers, and without land (well, almost).

1.1 ACV business model

A consumer who owns car X shows up at a dealer looking to buy car Y. The dealer quotes him the price of Y, minus what he's willing to give him for X. The customer accepts and leaves with car Y; the dealer gets the customer's cash and car X, the trade-in. In some cases, the trade-in has no place on the dealer's lot. A franchised BMW dealer who takes in a 12-year-old Toyota with 110k miles won't put it in the showroom. And he can't let it sit either, because it ties up capital and depreciates every day it sits on his lot. So he needs to offload it fast, at the best possible price, to another dealer

who actually wants that kind of inventory. That's where dealer-to-dealer (D2D) auction platforms like ACV Auctions come in.

The dealer opens the app, an ACV inspector (there are 800+ of them in the field, all salaried) comes to his lot, goes over the car with a fine-toothed comb (a hundred or more points, paint meter, fault codes, a camera that rolls under the chassis to inspect the underside without a lift; in short, the works), and the car goes into a roughly 20-minute online auction. It sits quietly on the dealer's lot until another dealer (most often an independent, i.e., a non-franchised one) buys it.

Compared to Copart, everything is simpler: no yard, no inbound towing and above all, no salvage title to chase down. Most of the things that drive Copart's costs don't exist here, but neither do most of the things that create its moat.

Like Copart, ACV gets paid on both sides of the auction: *"we earn auction and ancillary fees from both buyers and sellers in each case only upon a successful auction"* (10-K FY2022). No buying and reselling: it acts as an agent in the auction, so the vehicle's sale price never hits the income statement; only the fees do. On the other hand, it handles transport directly, and that revenue is booked gross. Management splits its revenue into 3 buckets, each made up of several products, so let's break them down.

Auction & assurance, 55% of revenue in Q2-26. The market structure looks a lot like Copart's, and so does the fee structure:

- **The buy fee** depends directly on the car's price: *"about 45% of those fees are from the buy side"* (Zerella, CFO, JPMorgan conference, May 2026).
- **The sell fee** is fixed + an optional inspection report. It only accounts for about 10% of those fees, and that's by design (or rather, by necessity): *"on the supply side we basically reduce the price if we get volume... Give us more cars, we charge you less"* (George Chamoun, CEO, Q2-25). In other words, ACV buys supply with its sell fees and makes it back on the demand side (nothing unusual in this sector).

On top of that, ACV sells 2 assurance products to sellers (makes sense: he's the one the hook if the buyer files a claim after the sale):

- **Go Green** = a 10-day guarantee against buyer claims over a defect the inspection might have missed.
- **The guarantee sale** = ACV guarantees a price to the seller and sells the car to buyers with no reserve. It's ACV's fastest-growing product: 1/4 of units in Q2-26 with a target of *"somewhere around 30%"*.

Marketplace services, 41%. In short, it's the same kind of constraint arbitrage as Copart, but on a smaller scale (partly because there are fewer constraints to arbitrage).

- **ACV Transportation.** It's a network of third-party carriers (125k transports in Q2-26, the equivalent of nearly 60% of cars sold), plus the beginnings of off-platform transport.
- **ACV Capital, floorplan lending.** A dealer who buys on ACV has to pay for the car before reselling it, and not all independents have a bank credit line for that. So ACV lends directly to the buyer, for 1 to 3 months, roughly how long it takes the car to find a buyer on his lot, and gets repaid at resale. Nearly 1/5 of vehicles sold on the platform are financed this way today (management targets 25%).

SaaS & data, 4%. ACV monetizes all the data it accumulates:

- **ACV MAX** manages a dealership's used inventory and flags the cars that are aging. ClearCar prices a trade-in right when the dealer needs to quote the customer a trade-in value.
- **True360** sends an inspector and delivers a condition report (with photos to back up), including for cars that will never go through ACV.
- And **VIPER**, commercially available since August 10, 2026, is a gantry planted in the service drive (where customers come to have their car serviced). The gantry takes photos and automatically takes a few measurements. The goal is to produce

an appraisal fast enough for the dealer to make a purchase offer to the customer while he waits for his oil change (or whatever else he came in for, obviously).

Add it all up, and revenue per car sold comes to **\$1012 in Q2-26** (vs \$916 for 2025), \$ of it from auction and assurance fees. On a GMV (Gross Merchandise Volume) of \$10.4B in 2025, ACV took 7.3% of GMV all-in (i.e., with transport booked gross), 3.3 of it from auction fees alone. The average vehicle sold on ACV is worth \$12.5k, so nothing like a Copart wreck.

The marketplace itself: 22k buyers and 14.9k sellers who transacted at least once over the last 12 months, and about 10 bidders per car (*"we've got 9.8 bidders per car. I think we're now at over 10 bidders per car"*, Chamoun, Q4-25). No customer accounts for more than 10% of revenue; that's the advantage of having such a fragmented buyer and seller base.

In Q2-26, revenue was up 10% to \$214M. Units were up 0.5% (211k). And auction marketplace revenue was up only 0.1%: \$92M vs \$92M (rounding to the nearest mill is enough to make the growth disappear).

The quarter's \$20M of growth comes mostly from 3 places:

- \$12.9M from transport and floorplan (including re-billed diesel costs, *"rising fuel costs being passed on to customers"*, 10-Q).
- \$7.0M from assurance (mostly guarantee sales).
- \$0.1M from auctions. Wouldn't want to forget that.

To keep it simple, ACV's 2026 growth is coming from **selling more services per car, while the number of cars sold is stagnating** (blame a D2D market that fell 6% in the quarter).

1.2 Why ACV loses money

ACV has never made \$1 of GAAP profit.

11 consecutive fiscal years of book value destruction since the company was founded. \$588M of accumulated deficit at June 30, 2026.

For 2025, the bridge fits in one line (\$M): 760 of revenue - 361 of cost of revenue (52% gross margin) - 183 of operations and technology - 235 of SG&A - 44 of D&A = -63 of operating income. Net income = -66.

There are 3 fairly different reasons for this.

The model itself. An auction without land has to be paid for with people. 3.2k employees including the 800+ inspectors: \$323M of payroll outside cost of revenue (\$150M in operations + technology, \$173M in SG&A), i.e., 43% of revenue. The CFO says it bluntly: *"70% of our OpEx is really fixed"* (Q1-26). The operating leverage exists but it's concentrated in certain territories: the 2 most profitable regions (out of 20) are above \$200 of EBITDA per car. The stronger of the 2 is even above \$300 in Q2-26. The company average was \$71 in 2025. A big 4x difference. Put differently, ACV's network is very uneven in terms of contribution.

Stock-based compensation: \$57M in 2025, 7.5% of revenue. Between the GAAP loss (-\$66M) and the Adjusted EBITDA management puts forward (+\$58.8M), there's a \$125M gap. As is too often the case, SBC is the biggest item, ahead of the \$44M of D&A and the \$18.7M Tricolor credit loss. In short, I'm generally not a fan of Adjusted EBITDA, but it's sometimes useful for making comparisons meaningful. Here, it's mostly bullshit. Note, by the way, that there's still \$111M of SBC to be expensed over the next 2.3 years (i.e., on Copart's P&L), and that the plan's share reserve automatically increases by 5% of the share count every January 1.

Finally, software: \$36M capitalized in 2025, \$29M amortized. Obviously, Adjusted EBITDA reflects neither.

For ACV to finally be profitable, it has to push more cars through per inspector and per territory, while holding fixed costs steady. Management has a plan for that, which it called “*midterm*” (May 2026): \$230 of EBITDA per unit at 1.5M units, i.e., \$345M. I very... bold.

Now the reality: 2026 guidance remains at \$73-77M of Adjusted EBITDA and a \$44M to \$49M GAAP loss, with the assumption that “*the dealer wholesale market is expected to stabilize in the back half of 2026*”. To get from one to the other, you need to increase adjusted EBITDA 4.6x and sell 80% more cars. In a market that’s shrinking short-term.

In short: it’s ugly, and **the company fully deserves to have underperformed since its IPO.**

1.3 The sector and ACV’s position

The U.S. D2D market, according to ACV: “*2025, dealer-to-dealer wholesale was about 7.5 million vehicles. You’re still talking about five million vehicles that are still transacting at physical auctions*” (Mehta, COO, March 2026). So 30% digital, 70% still on a physical auction lot where dealers come with their coffee. Out of 7.5M, ACV’s 829k cars represent 11% of that total, commercial included. In its best territories in the Northeast, “*40% or more share today. That’s just us.*” That’s where it was born, so it benefits from a local advantage it doesn’t have elsewhere.

On the seller side, ACV works with about 6k of the 17k US franchised dealerships, i.e., 1/3 of them.

The competition comes down to 3 names:

- Manheim (Cox, private): “*8M+ vehicles a year*” across 81 physical sites for a total \$3B of revenue. Unfortunately, Cox says neither how many are D2D, nor how many are sold rather than just listed. But in D2D, it’s surely below 7M (ACV talks about 7.5M units a year in total for pure D2D).

- OPENLANE (ex-KAR, public): 1.47M cars sold in 2025 (48% dealer consignments all countries combined) for \$1.9B of revenue, \$333M of Adjusted EBITDA and, unlike ACV, positive net income of \$178M. The CEO mentions “*about 10% of the total D2D market in the United States*”.¹ In Q2-26, “31% growth in US dealer vehicle sold”, vs +0.5% for ACV.
- ADESA (Carvana): 56 physical sites, 1M units in 2021 at the time of the acquisition, and still about 1M units on its wholesale marketplace in 2025 according to Carvana.

ACV gives 3 reasons for its slowing growth:

- **The number of D2D trade-ins** (the market ACV operates in) fell 6% in Q2 and 10% in July.
- **A larger share of cars didn’t find a buyer:** the conversion rate fell 300 to 350 basis points in the quarter, and ACV estimates that this price disagreement between sellers and buyers cost it 600 basis points of unit growth.
- **The Northeast**, the region where it’s strongest, had been the hardest hit by weather the previous quarter.

That’s plausible. What’s also plausible is that OPENLANE is gaining share at the very moment ACV, the “*largest dealer digital wholesale market*” according to its own CEO, no longer gaining any.

Copart is potentially going to pay about 2.5x revenue for a company whose recent growth comes from selling more services per vehicle and charging more for them rather than from selling more vehicles. (It’s just an observation; the judgment will come later.)

1.4 What the income statement doesn’t show

ACV carries \$192M of loan receivables on its balance sheet as of June 30, 2026. It lends borrowed money: a dedicated facility at Citi, \$200M committed, \$125M of it

drawn, funds ACV Capital's outstanding loans. Sure, it's small at Copart's scale, but will make the consolidated accounts harder to read, and above all it gives Copart a foothold in lending.

This lending is also where the **only real catastrophe** in ACV's recent history started. Tricolor was a Texas buy-here-pay-here car dealer that filed for bankruptcy in September 2025. It was an ACV customer, and ACV had lent it \$18M. The bankrupt ended up in Chapter 7, i.e., a straight liquidation with no restructuring at all.

Everything was written off, \$18.7M on a \$200M portfolio. Provisions for the year rose to \$31.3M vs \$4.3M the year before (their internal model assumed about 3% losses...

There's no excuse, and Chamoun admits the mistake: "*We took on a customer that we shouldn't have taken on*", before immediately pointing out that JPMorgan and other banks had been fooled too. The 10-K, for its part, offers 3 excuses, notably the alleged fraud under federal investigation and the big credit lines Tricolor had with large US banks (them again). And Copart obviously isn't going to bring any expertise in that area.

Moreover, not all the cash on ACV's balance sheet belongs to it. Of the \$242M on the June 30 balance sheet, about **\$175M is float**: buyers' money passing through ACV until it reaches the sellers. The figure doesn't appear in any filed financial statement (the CFO gives it on every call), and it swings between \$171M and \$230M from one quarter to the next depending on what comes in during the last 2 weeks of the quarter.

Commercial, outside D2D. Think of rental companies, banks with their repos, fleet etc., any institution liquidating part or all of its vehicle fleet. In total, it accounts for 7% of ACV's volume, out of a market its deck estimates at 6M vehicles a year. ACV can sell part of it upstream, by plugging into the consignor's software before the car moves. But a rental company liquidating its fleet doesn't hand 2k cars to someone who has nowhere to put them. So ACV bought 10 physical auctions in 2023 and 2024, then opened a site in Houston, with a second one announced in Chicago. It leases this land but ACV doesn't publish any historical commercial unit data, so there's no way to

know whether it's really catching on or not. The only thing I know is that Copart has land all over the US and that it even has Blue Car, its business for banks, rental companies and fleets (up nearly 20% in Q4-26).

VIPER, which doesn't generate any revenue yet. ACV had already tried its luck in software with ClearCar, but in the service drive you had to station an employee paid \$20-30 an hour to walk around the cars, a model that, unsurprisingly, never managed scale: *"We weren't able to so far get thousands of dealers to staff hourly people in their service drive doing this work."* Hence the VIPER gantry, which replaces a per-car cost with a fixed cost. 18 in service in May 2026, with about 150 planned for the year.

At the JPMorgan conference in May 2026, Zerella modeled 3k gantries and 10 incremental cars per month per gantry: *"\$450 million of incremental revenue... and \$15 million of incremental EBITDA"*. He was careful to call it *"a modeling exercise"*, and Chamoun insisted: *"We haven't proved it yet"*. The 2027 target is still fuzzy. On the Q26 call: *"I first said 500 units, and then I think I also said it could be 1,000 units"*, and in the same answer *"we have not done next year's plan yet"*. In short, potential buried under uncertainty and a lot of ifs. But the potential exists.

(One last point to avoid pointless debates: Copart presents ACV as a wholesale play *"in the US and Europe"* (in its deck). ACV's filings describe revenue outside the US as *"not material"* over the last 3 fiscal years, with operations *"primarily in North America and India"*. I give the Europe angle almost no weight.)

That's everything Copart is potentially going to pay \$1.9B for. But that amount doesn't mean much until we know how Copart arrived at it.

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2 The transaction

2.1 The story of the acquisition

A company being acquired has to file a detailed account of its own sale process: the Background of the Merger. ACV's covers 10 months, and the story is interesting when you read between the lines.

When Jeff Liaw picks up his phone on May 29, 2026, to call Chamoun, ACV has already been in talks about its sale for 6 months.

The suitor is called Party A in the document. It had already come by in 2022, but got no further than a confidentiality agreement. It comes back on November 17, 2025, with an all-stock offer, 0.31 to 0.34 of its shares per ACV share, which would leave ACV shareholders with 31% to 33% of the combined company. The board says no on November 21 (the offer undervalues ACV), but Party A isn't discouraged. A few emails later, Party A comes back on March 5, 2026, at **\$8.75**, i.e., 60% above the previous deal close, with \$3.00 to \$5.00 of it in cash. **The board says no again on April 8.**

Copart comes in second, without knowing there's already someone ahead of it. Meeting in Buffalo on June 4 with Adair, then Executive Chairman. First proposal on July 2: **\$8.00 to \$8.50 per share, paid in Copart shares.**

On July 12, ACV's board settles on a process. J.P. Morgan (JPM) explains that the list of interested strategics is short and that a financial buyer is unlikely to come up with a more attractive price. Two days later, the bank contacts three parties: Party A, Copart, and Party B. On July 29 the process letter goes out, with an August 6 deadline.

The three offers arrive that day. Drumroll...

- **Party A:** cash and stock, \$10.50 implied, half-and-half.
- **Party B:** \$11.00 to \$12.00, all cash, i.e., an enterprise value of \$1882M to \$2066M which the document translates into 30.4x to 33.4x TTM EBITDA.
- **Copart:** \$10.00 to \$10.25, all cash, with *"sufficient cash on hand to fund the full purchase price"* and no financing condition.

Copart's is the lowest of the 3 offers.

On August 10, ACV reports its second quarter and closes at \$7.26. The same day, a fourth party that had approached ACV unsolicited 6 days earlier withdraws "*without giving any specific reason*", and Bill Zerella resigns as CFO. The next morning, the proxy reports that ACV is exploring strategic alternatives. The stock opens at \$8.22, i.e., 1 point above the previous close, only to close exactly where it had the day before, on 25.6M shares traded. Lots of volatility, but no change in price even though the company is for sale.

On August 15, the highest bidder walks away: "*in light of a recent material decline in the stock price of Party B, and Party B's need to focus on its own business.*"

The 14D-9 names no one, but... let's say it's a small world. Party B is publicly traded, it's a strategic buyer from the sector, from a very short list, it had the means to put up \$2B in cash, and its stock had just fallen sharply at the time it withdrew. You don't need 30 years in the industry to guess.

RB Global reports its second quarter on August 4, and its shares fall 13.9% the next day. On August 14, the day before the withdrawal, it trades at \$84.26, i.e., 24% below August 4 close and 30% below its all-time high. Despite revenue and guidance above expectations, the market mostly punished RB Global for a 110-basis-point drop in its take rate year over year (which, as you'll remember, I attributed to its buying Progressive's volume in exchange for lower fees, something Copart refused to do). Over the same period, no other potential acquirer saw a comparable move: OPENLANE was down 11%, while Carvana was up.

Put differently, winning Progressive's volume cost RB Global not just some margin, but also its place in the race to buy ACV.

With RB Global out, that leaves only Party A and Copart. On August 28, Adair calls Chamoun and asks whether \$10.00 would do. Answer: "*highly doubtful*". On September

2, J.P. Morgan asks for final offers by 5pm on the 8th. Copart doesn't wait and puts \$10.50 in cash on the table on September 6. Party A sends in its offer on the 8th: \$10.50 implied, in cash + stock, i.e., less than its own \$10.50 from August 6. A half-hearted attempt, *"because you never know"*.

The board meets that same evening. Copart has completed its due diligence, Party A hasn't. Ironically, the board takes into account *"the fact that the media reported Copart might be considering an alternative acquisition"*. The document doesn't name the target but CCC Intelligent Solutions is the only name that was circulating at the time. I wouldn't be surprised if Copart, knowing that that acquisition probably wouldn't happen, still let its interest leak to strengthen its negotiating position (players in the sector with that much cash on the balance sheet are rare). If that was their strategy, it would seem to have worked.

On September 9, Party A's advisor lets it be known that Party A could potentially improve its offer. The board replies that it's now or never. Party A never calls back. The deal with Copart is signed on September 10, shortly after the market close.

To sum up: **Copart paid \$0.50 more than the last competing offer**, and \$0.50 to \$1.50 less than the best offer in the process, most likely from RB Global, which withdrew because of its own commercial strategy with Progressive.

Let's go back to Copart's initial July 2 all-stock proposal to buy ACV, because it may raise eyebrows. Copart had been buying back its own shares at around \$37 during the fiscal year, and now it was proposing to issue cheap paper at \$30 (the July 2 price), with more than \$4B of cash on the balance sheet? It reeks of per-share value destruction.

But a bit of context. First, Copart's offer came with a draft exclusivity agreement. The goal was to lock up ACV before an official process opened (ACV refused the exclusivity, and tasked J.P. Morgan with contacting other buyers instead). Second, paying in stock is a form of partial insurance. The idea is that when you're sure you can create value, you pay cash to keep it all for yourself. If you're not sure, you accept

sharing part of the potential upside so as to also share part of the potential downside. And those who stay in charge end up being paid in the acquirer's shares, so they're incentivized to see those shares go up. There are also a few legal technicalities (not tax advantages), but they're not worth going into.

Ok, but why did Copart switch to all cash? Did they become certain, in 1 month, that they would create value? It's not impossible, but Occam's razor makes that pretty unlikely. Once J.P. Morgan joined the party, the game changed. It went from a negotiation between 2 parties to an auction. On August 6, Copart put in its cash offer at the same time as Party B (as a reminder, most likely RB Global), which was proposing \$11.00-\$12.00 all cash. Copart's all-stock offer no longer made sense. Structural reasons also played a role: paying in shares requires registering those shares with the SEC and, most often, holding an ACV shareholder vote, whereas a cash tender offer closes without a vote.

In the end, it's **clearly the best outcome in my view**. Issuing cheap paper when you have that much cash in the bank, especially when you can borrow at relatively low rates and generate FCF every quarter, that makes no sense. Especially when you were buying back your shares much higher a few months earlier.

Once the deal is signed, recourse is limited. There's no go-shop, only a no-shop with a fiduciary out and 4 business days for Copart to match if a superior offer shows up, plus a \$57.7M fee ACV would have to pay Copart if it walked away anyway (about 3% of its equity value). ACV's 13 directors and officers signed a Support Agreement covering 4.07% of the shares. In other words, they tender their shares and irrevocably waive appraisal rights.

A quick detour through the golden parachutes. The table shows what executives would collect if the deal goes through and, incidentally, they're fired right after: \$18.4M for the CEO, \$11.7M for the CSO. So there are two conditions. And as it happens, Copart has announced that ACV will keep operating as a standalone subsidiary with its current team. One subtlety: their unvested shares are converted into Copart shares

rather than paid in cash. The team that stays is paid in Copart paper (incentives, and all that).

All that's left is to figure out whether it's expensive or not.

2.2 What this price implies

\$10.50 per share in cash, i.e., 45% above the August 10, 2026, close, the last day before the leak. The premium is real, but it's measured against a stock that had lost 65% since January 2025, and as much as 80% at its April 1 low. When a likely buyout was reported on August 11, ACV jumped 13% at the open before giving it all back the same day. 5 days before the board's vote on Copart's offer, on September 8, ACV traded at \$7.03. At that short, the market was giving virtually no weight to the possibility of a buyout.

That changed on September 10, after the market close, when Copart announced the acquisition. The next day the stock jumped more than 40%, and it has been hovering around \$10.45 since. On September 17 it traded at \$10.48, i.e., 0.2% below the offer price.

The offer represents “*an implied equity value of approximately \$1.9 billion*”. The Schedule TO fee table breaks it all down (as of September 8):

- 170M shares at \$10.50 = \$1.78B.
- 1.13M in-the-money options, at a \$3.14 average exercise price = \$8.3M of spread.
- 10.3M RSUs and 2.4M PSUs at target = \$134M.
- 341k employee stock purchase plan rights at \$5.56 = \$1.7M of spread.

Of that total, \$1.79B leaves Copart's balance sheet, and the remaining \$134M will be settled in Copart shares, creating dilution over the next 2.3 years.

Now to ACV's balance sheet.

ACV carries \$37M of net cash as of June 30. Except that about \$175M of its cash is float (buyers' money waiting to be transferred to sellers) that doesn't belong to ACV. I don't count it as cash. Adjusted for the float, enterprise value = \$2.064B. (If you'd rather treat it as company cash, take about 8% off everything that follows.)

- 2.7x 2025 revenue (\$760M)
- 2.4x 2026 guided revenue (\$850M)
- 35x 2025 adjusted EBITDA (\$59M)
- 27.5x 2026 guided adjusted EBITDA (\$75M)
- \$2489/vehicle sold (829k in 2025)

No P/E, since earnings are negative. I won't even talk about P/FCF, completely distorted by SBC. Adjusted EBITDA suffers from being too adjusted for my taste.

The least bad metric seems to be EV/sales, but it too is distorted by transport, which is booked as revenue and passes through the income statement leaving almost nothing behind. Put differently, it artificially inflates revenue. If we adjust for this by removing the associated cost (\$207M), we get an **EV/sales on 2025 revenue of 3.7x**.

One methodological caveat: of ACV's \$205M of debt, \$125M is a Citi warehouse facility that finances only one thing: the \$192M of floorplan receivables. So it inflates both sides of the balance sheet. If we strip that block out, the enterprise value of the rest drops to \$1.872B. I'll stop there, because ACV doesn't disclose ACV Capital's revenue separately (so we can correct the numerator but not the denominator).

And what about the peers?

As of September 17, on revenue, OPENLANE trades at 3.1x, RB Global 4.1x, and Copart itself 4.9x. ACV at 2.7x is therefore the cheapest of the four. But it's worth looking further down the income statement. On EBITDA, the order flips completely. Based on their 2026 guidance, **RB Global trades at about 13x its adjusted EBITDA**

and OPENLANE about 16x, vs 27.5x for ACV. Copart, for its part, never guides anything: it trades at 12.3x its reported EBITDA.

In short: Copart, which trades at 12x EBITDA, is buying ACV at 27x its 2026 guided adjusted EBITDA (adjusted mostly for stock-based compensation, \$57M in 2025...). Party B, most likely RB Global, was ready to pay \$11.00 to \$12.00 for ACV all in cash which the 14D-9 itself translates into 30.4x to 33.4x trailing twelve-month EBITDA about 29x for Copart's \$10.50 on the same basis.

The most recent similar M&A deal is Carvana's acquisition of ADESA US in February 2022: \$2.2B paid for about \$800M of revenue, \$100M of EBITDA, 1M cars sold, and physical sites. That's roughly \$2200 per car sold. **Copart pays 13% more for ACV, without owning a single square foot.**

One accounting subtlety: Copart collected \$182M of net interest on \$4.49B of cash, about 4% (FY26). The \$1.79B that will leave at closing is currently earning about \$72M a year. No integration needed, no execution risk or anything else. All it takes is for the banking system not to collapse. On the other side, ACV guides \$73M to \$77M of adjusted EBITDA for 2026, and a GAAP loss of \$44M to \$49M. To sum up year one, roughly, Copart is trading a coupon for a fixer-upper.

So that leaves 2 possibilities for Copart:

- Either it's paying for intangibles + synergies at a fair price. ACV's equity stood at \$390M as of June 30, so about \$1.5B of the price corresponds to what's not on the balance sheet: technology, data, and above all, dealer relationships.
- Or Copart overpaid for the acquisition.

Either way, this \$1.5B will go into goodwill and intangibles (as a reminder, Copart has booked only one goodwill impairment in its history, \$22M in FY06).

In 2025, ACV generated \$71 of adjusted EBITDA per car. At that pace, it would take Copart 35 years to get its money back, vehicle by vehicle.

So the whole question comes down to how fast that \$71 goes up (excluding synergies). Which is exactly what's next.

If you know someone trying to make sense of what Copart just paid for ACV, feel free to send this their way.

2.3 Forecasts for ACV

Now we're going to have some fun.

Quick vocabulary point: a **fairness opinion** = an opinion an investment bank gives to a target's board of directors stating that the price is "fair" to shareholders.

In practice, the board uses it to cover itself, the bank uses it to charge fees, and shareholders receive, just in case, a summary of the methods. The package also includes the projections ACV's management handed to its board and to J.P. Morgan.

This summary is the only thing that even remotely (very remotely) resembles a public valuation of ACV.

In practice: the bank has every incentive for the deal to happen, so does the seller, and in a way so does the buyer, who has to justify its price to its own board. Projections modified at the boss's request to maximize the likelihood of the sale aren't rare in the industry, when it's not simply a junior analyst getting overzealous on his own. In short, take this with a grain of salt. Just in case, take that grain of salt with a grain of salt. But it's the only thing we have, so let's work with it.

Here's the table (\$M):

ACV Financial Projections

Undiscovered
Compounders

Metric	2026E	2027E	2028E	2029E	2030E
Revenue	\$857M	\$964M	\$1.116B	\$1.322B	\$1.525B
Adjusted EBITDA (ex-SBC)	\$78M	\$123M	\$187M	\$283M	\$382M
Adjusted EBIT (incl. SBC)	-\$15M	\$20M	\$73M	\$152M	\$244M
Unlevered Free Cash Flow	N/A	-\$97M	-\$69M	-\$8M	\$37M

Source: ACV Auctions Schedule 14D-9, Management Projections, filed September 17, 2026.

Unlevered FCF (the cash left once taxes, capex and working capital needs are covered before any debt service) won't be positive until 2030, and that's in projections that are most likely... optimistic: \$137M of cumulative negative FCF over the period. I won't even mention the opportunity cost of the interest on the cash (about \$290M over the 4 years). Kudos to the public guidance of \$845M to \$855M of revenue and \$73M to \$77M of adjusted EBITDA, which turns into \$857M of revenue and \$78M of EBITDA in the projection handed to the board and J.P. Morgan. I'm being subtly cynical, but it's the industry norm. It's not a red flag in itself (or if it is, it's a red flag on the industry itself; I'll let you judge).

The rest of the table rests on 5 assumptions:

- Dealer-to-dealer units grow at a “low-double digit” rate per year.

- Commercial rises to 235k units in 2030 vs about 58k today, a 4x.
- SaaS and data go to \$135M vs \$34.5M in 2025. That's 3.9x, driven by VIPER and MAX.
- Revenue margin improves by 4% between 2025 and 2030.
- Operating expenses go from about 45% of revenue in 2025 to a bit over 30% in 2030.

Now let's take 2030 revenue and divide it by current revenue per car (\$1012): we get 1.5M units. That's, funnily enough, the "midterm" model management has been talking about for a year without ever putting a date on it. According to management's optimistic projections, midterm is 2030. That still means selling 80% more cars than 2025, in 5 years, in a market that's contracting in the short term.

Obviously, the big problem with these forecasts is that they're built "*on the basis of the Company continuing as an independent company*", i.e., without a single \$ of Copart synergies, which is the very reason Copart is buying. My job will be to estimate those synergies and their potential impact on Copart.

Let's just take a quick look at J.P. Morgan and its valuations first. For starters, they'll collect about \$26M in fees on the deal, with \$4M earned upon delivery of the opinion and \$22M contingent on closing. Hmm.

First method, public company multiples. The basket they picked: Copart, RB Global, OPENLANE, Uber, Airbnb, Wayfair, Chewy, Etsy, AutoZone, Coca-Cola, Domino's

I rigged the list. At some point, I slipped in names myself that weren't on JPM's list. Guess where it starts.

Last chance.

The last 3 are mine. Uber, Airbnb, Wayfair, Chewy and Etsy, no; they're really in the market. I'm not kidding. It's as if they had treated pretty much any company built around a

online platform as a comparable. Why not Amazon or Shein while we're at it? What about the auto market, what about the land, what about the inspections done on dealers' lots?

They give neither the observed multiples for each company nor the bridge from enterprise value to value per share. All they say is that they relied on 2027 estimates (which is totally logical, you'll agree, won't you?).

Here are the current multiples (TTM EBITDA for these companies): Copart 12.3x, OPENLANE 14.6x, RB Global 14.9x. Then Etsy 18.5x, Uber 20.0x, Chewy 20.7x, Airl 32.0x, Wayfair 47.3x. ACV is being acquired at 32x its trailing twelve-month adjusted EBITDA (on my float-adjusted EV), an EBITDA that, unlike theirs, adds back stock based compensation. Using their own adjusted EBITDA, Wayfair and Airbnb come back down to around 20x, and ACV remains an aberration, even in this bunch. On the multiples JPM's screen shows, though, ACV's 32x looks almost tame. Thanks, JPM.

On that basis, JPM picked a multiple of 11.0x to 16.0x 2027E adjusted EBITDA of \$123M. That gives a value of \$7.50 to \$10.75 per share. As a reminder, ACV traded at \$7.03 on September 8 and the final offer is \$10.50, so \$0.25 below the ceiling. And if we measure the price paid against that same 2027E EBITDA, Copart is actually paying 16.8x. Above the ceiling of the range that the seller's own advisory bank judged fair (with the alternative I offered above, counting all of ACV's cash, float included, it drops to 15.4x).

Second method, the DCF. They discounted cash flows from 2027 to 2036, WACC of 10.0% to 11.0%, with terminal growth of 2.50% to 3.50% (value discounted back to December 31, 2026). Result: \$9.50 to \$13.00 per share. It's the only one of the two methods that puts \$10.50 at the low end of the range rather than against the ceiling. It's also the one that rests on 2031 to 2036 cash flows that management prepared, the bank received, and nobody published.

I won't go further, it's not worth it. The goal was to show how, behind the scenes, things arrived at this price. It's bullshit. Mind you, I'm not attacking anyone in particular. None of this is abnormal, it's just how the industry works. As almost always, the problem is the game, not the players. But I won't use any of this in my own analysis.

But the acquisition isn't done yet, and speaking of which: what can still happen before it is?

2.4 The timeline, and what can still break

The offer runs from September 17 through September 30. The HSR notification, the mandatory filing with U.S. antitrust authorities, was filed on September 11 by both parties, and the waiting period expires on September 28 (2 days before the offer ends). Everything seems lined up for the deal to close in early October.

What interests us here is what the lawyers wrote.

Copart would pay ACV \$115.3M if the deal failed on antitrust grounds (2x the \$57.7M ACV would have to pay if it walked away with a superior offer). **Copart also committed to doing whatever is necessary to get antitrust clearance:** selling businesses, holding some businesses separate from the integration, licensing technologies to competitors, accepting limits on how it operates, etc. None of this is required today, but if the antitrust authority makes one of these a condition for its green light, Copart has committed to accepting it. Its commitment only stops if the requested remedy would have a material adverse effect on ACV or on Copart as a whole. And if antitrust clearance is still pending at the September 10, 2027, outside date, that date is automatically extended once, by 180 days.

These are protection clauses, and they say nothing about what will happen. They show what each side was willing to pay to protect itself against that scenario. A higher fee on the buyer side, when there is one, is the norm: in 2025, nearly 4% of transaction

value on average vs a bit under 3% on the target side. ² A 2x fee in one direction only, mostly a way of pricing a specific risk.

Meanwhile, as of September 17, ACVA trades at \$10.48 vs \$10.50 offered. A 0.2% spread. So you might as well say the market is pricing the acquisition as virtually certain to close very quickly, probably in early October.

Great. Now to the implications for Copart.

3 What it changes for Copart

3.1 The synergy bar

Copart hasn't quantified any synergies. The press release says "*meaningful*", the deck "*significant*", and nothing else anywhere. Honorable mention goes to Copart's earnings call, where the word appears only once, as a counterexample, when Adair explains he won't buy hotels just because Copart books rooms all over the country: "*That's not synergistic enough.*" Well, at least we know.

Instead, Copart makes a promise about its GAAP EPS. Here are the 3 versions of the promise (all dated September 10):

- The press release: "*neutral on Copart's earnings per share in the first full year of ownership and accretive in fiscal 2028 and beyond*". The deck says the same thing.
- Adair, on the call: "*We expect the transaction to be accretive to earnings in the first year, and we will provide more details after it closes.*"
- Stearns, clearing up the confusion: "*We expect the transaction to be breakeven in the current, effectively accretive in the first full year, which will be in FY 2028.*" Then, coming back to the date unprompted: "*given there is uncertainty in terms of when it closes, we have just guided to 2028.*"

Perfect, it's napkin math time.

Let's start with what disappears. The \$1.79B that will leave at closing is currently earning \$72M/year in interest. After tax, at Copart's FY26 effective rate, that's \$72M $(1 - 19.3\%) = \$58\text{M}$ less in net income every year.

Next, what ACV brings. Let's take the NOPAT from the 14D-9 projections = operating income after SBC and amortization, minus tax. It excludes interest, which changes almost nothing here: ACV's interest income and expense roughly cancel out (\$8.0M income vs \$9.6M of expense in FY25). In other words, it's the line closest to what ACV will add to Copart's net income, before the accounting effects of the acquisition: \$1M in 2027, \$55M in 2028, \$114M in 2029, \$183M in 2030. As a reminder, it includes no synergies.

Now we have to line them up with Copart's fiscal calendar, whose fiscal year runs from August to July. FY28 covers 5 months of 2027 and 7 months of 2028: $\$15\text{M} \times 5/12 + \$55\text{M} \times 7/12 = \38M .

Let's do the subtraction. In FY28, Copart loses \$58M of interest income and gets back \$38M from ACV, i.e., a \$20M shortfall after tax. To make up for it, you need about **\$25M of pre-tax synergies** ($\$20\text{M} / (1 - 19.3\%)$). And that's just for neutrality; to be accretive, synergies have to add more than \$25M pre-tax.

More importantly, this \$25M is a floor:

- **First, it assumes ACV's projections hold** (which, honestly, excluding synergies, is very unlikely in my view).
- **Second, it ignores intangibles.** Of the \$1.5B paid above ACV's book equity, part will go into goodwill, which isn't amortized. Another part will go into identifiable intangible assets (dealer relationships, technology), which are amortized and expensed every year. So part of it will weigh on net income, and how hard it hits will depend on that split. We'll only know once Copart files its first accounts after the acquisition. Until then, keep in mind that every \$100M of intangibles amortized over 10 years adds \$10M a year pre-tax to the bar to clear for accretion in FY28.

If we take Stearns at her word, the FY27 bar is higher. With a closing in early October, Copart consolidates ACV over 10 months (October 2026 to July 2027).

- October-December 2026: 2026 NOPAT isn't published. So I take 2026 adjusted EBIT (-\$15M) and spread it linearly over the year, i.e., about -\$4M for the quarter. It's approximate and probably a tad generous, because Q4 is ACV's weakest quarter. In 2025, Q4 did \$7.6M of adjusted EBITDA, vs \$14M to \$19M for each of the other 3.
- January-July 2027: $\$15M \times 7/12 = \$9M$.

So ACV brings about \$5M. On the other side, 10 months of lost interest income = $\$58M \times 10/12 = \$48M$. That leaves a \$43M after-tax gap, i.e., about \$54M of pre-tax synergies needed to hit "*breakeven*" over the first 10 months. (I'm leaving aside rate changes and the repayment of ACV's \$205M of debt, which can move the figures a little. Napkin math, remember.)

We'll spend the rest of this section looking at where the following could come from

- At least \$54M pre-tax to hit "*breakeven*" in FY27.
- More than \$25M pre-tax to be accretive in FY28 (most likely much more).
- The long-term value that's the real reason behind this acquisition.

The synergy source Adair cited first, and for good reason, since it's the most important: buyers.

3.2 Buyer-side synergies

What this means for Copart is for paid subscribers, along with my deep dives (backed by hundreds of hours of forensic research), every update, and the full archive.

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